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DJIA 41964.63 ▲ 383.32 0.92% NASDAQ 17750.79 ▲ 1.4% STOXX 600 555.37 ▲ 0.2% 10-YR. TREAS. ▲ 6/32, yield 4.257% OIL \$67.16 ▲ \$0.26 GOLD \$3,035.90 ▲ \$0.80 EURO \$1.0905 YEN 148.69

What's News

Business & Finance

- ◆ **The Fed extended** its wait-and-see posture on interest rates while marking up its forecasts for inflation and cutting its outlook for growth this year. **A1**
- ◆ **Major U.S. stock indexes** rallied after the Fed held rates steady, with the S&P 500, Nasdaq and Dow industrials advancing 1.1%, 1.4% and 0.9%, respectively. **B1**
- ◆ **Purdue Pharma filed** a new reorganization plan that aims to deliver more than \$7.4 billion in cash to creditors, subject to reserves, to compensate victims and abate the opioid crisis. **B1**
- ◆ **Sandals Resorts** restarted efforts to sell itself after years of family infighting following its founder's death and an earlier stalled exploration of a sale. **B3**
- ◆ **Tencent nearly doubled** its profit on double-digit revenue growth in the fourth quarter as the company stepped up AI investment and built on momentum in gaming. **B4**
- ◆ **The European Commission** proceeded with the enforcement of its digital antitrust rules on Apple and Alphabet's Google amid rising trade tensions with the U.S. **B4**
- ◆ **QXO has signed** a deal to acquire Beacon Roofing Supply in an agreement that values the company at roughly \$7.7 billion, or \$11 billion including debt. **B2**
- ◆ **Lincoln Financial** teamed up with Bain Capital and Partners Group to launch two private-market funds for individual investors this year. **B10**
- ◆ **Nissan will eliminate** 20% of its top management positions in a continuing overhaul of its leadership structure. **B3**

World-Wide

- ◆ **Trump raised** the possibility that the U.S. would acquire Ukrainian power plants, including nuclear facilities, calling the idea the "best protection for that infrastructure," as the White House tries to jump-start talks to halt the Ukraine-Russia war. **A1, A7**
- ◆ **Israel said it sent** ground troops back into the center and south of the Gaza Strip, expanding a military operation that began with a wave of airstrikes the day before. **A6**
- ◆ **Turkish authorities** moved against the country's main opposition party, detaining President Recep Tayyip Erdogan's top rival and dozens of other people. **A7**
- ◆ **Columbia University** is getting close to yielding to Trump's demands in negotiations to restore \$400 million in federal funding the administration had canceled. **A3**
- ◆ **The Trump administration** paused about \$175 million in federal funding to the University of Pennsylvania for allowing a transgender athlete to compete on the women's swimming team. **A3**
- ◆ **The leader of the** Democratic Republic of Congo offered Trump access to rare minerals in exchange for help defeating a rebel force. **A8**
- ◆ **The administration** is considering a plan to extend Chevron's license to pump oil in Venezuela and impose financial penalties on other countries that do business with the South American nation. **A4**
- ◆ **Mahmoud Khalil's** legal struggle to stay in the U.S. was moved to New Jersey after a judge in New York said he didn't have jurisdiction. **A3**

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Fed's Economic Outlook Dims

Central bank lowers growth view, boosts inflation forecast as it holds rates steady

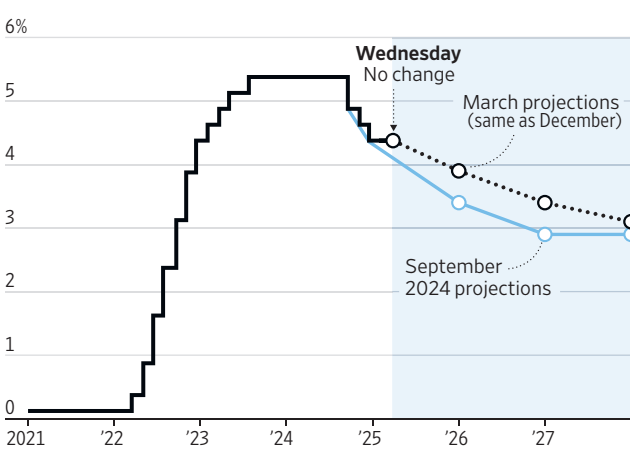
By NICK TIMIRAOS

The Federal Reserve extended its wait-and-see posture on interest rates while marking up its forecasts for inflation and revising down its outlook for growth and employment this year. The central bank held steady its benchmark federal-funds rate at around 4.3% at its policy meeting as it assesses how a blitz of policy

changes—on trade, immigration, spending and taxes—by the Trump administration could reshape the economic outlook. Consumer sentiment has slumped in recent weeks amid headlines on federal cutbacks and higher tariffs. "We think it's a good time for us to await for further clarity," said Fed Chair Jerome Powell at a news conference on Wednesday. Investors were heartened that Powell didn't signal a

- ◆ **Markets rally as Fed keeps rates steady.....** B1
- ◆ **Policies shuffle municipal-bond strategies.....** B1

Federal-funds rate target with projections



Note: Chart shows Fed officials' median projections for the midpoint of the target range at year-end. Source: Federal Reserve

Protests Rise in Israel as Troops Move Into Gaza

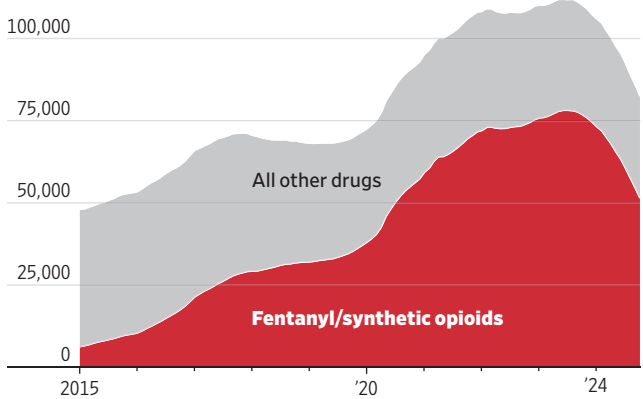


IN FORCE: Israelis marched on Wednesday to protest Prime Minister Benjamin Netanyahu's plans to dismiss the head of the Shin Bet internal security service, as Israel sent ground troops back into the Gaza Strip in its fight against Hamas. **A6**

Overdose Deaths Decline

In the 12 months ended in October 2024, overdose deaths in the U.S. fell 25% from a year earlier, led by a decrease in fentanyl deaths, according to preliminary estimates. **A3**

Provisional drug-overdose deaths, for 12 months ending in the date shown



Source: National Center for Health Statistics

Haulers of Turkeys and Tire Rims Mourn Southwest's Free-Bag Era

Policy wasn't just for chronic overpackers. It also cut down on shipping costs.

By ALISON SIDER

When Audrey Hooper and her far-flung family have things they need to bring to one another, they load up Big Pink. The large, fluorescent-colored suitcase has crisscrossed the country for years and for free—mostly on Southwest Airlines. When Hooper didn't feel like cooking for Thanksgiving after having a baby, her mother prepared and froze a full dinner in Oregon and checked it

"Everything has always arrived in immaculate condition," Hooper said. But the fun is over. Southwest, which long embraced bag checkers, plans to end its two-free-bag policy in May. It's reserving free checked items for customers with elite status and those who hold its co-branded credit card. "It's the end of an era shipping things around so much," she said. For Southwest, that may be the point. The airline is under pressure from investors to boost revenue. It has been missing out on the bag-fee bonanza that has generated billions of dollars for rivals. And handling all those checked bags is



Case closed

The Case of One of America's Biggest Alleged Tax Cheats

Defense contractor Douglas Edelman's jet-setting lifestyle came to a halt after he was charged with hiding income

By MARGOT PATRICK

It was just another day in paradise when the Internal Revenue Service caught up with Douglas Edelman last July on the Spanish island of Ibiza. Three decades earlier, Edelman had left his family behind in Texas and sought a new life in Moscow and then Kyrgyzstan after the Soviet Union crumbled. When the U.S. sent troops to Afghanistan in the wake of the Sept. 11, 2001 attacks, he and a partner hit a \$7 billion military-contract bonanza, delivering fuel

and services. His life became a dream of bulging Swiss bank accounts and yacht and island vacations with his second wife, an elegant French journalist named Delphine Le Dain. The couple kept homes across Europe, and purchased one of London's grandest residences, a \$43 million double mansion, to raise their family. Edelman, now 73 years old, bankrolled Hollywood movies, MTV's affiliate in the Balkans and media outlets in China and Iraq. Like other Americans living overseas, Edelman

INSIDE



PERSONAL JOURNAL Measles cases are climbing. How to know if you need a booster shot. **A9**



BUSINESS & FINANCE Ben & Jerry's says its CEO was fired by parent Unilever for the brand's activism. **B1**

Small Studio Pursues Controversial Movies

By JOHN JURGENSEN

The indie film fantasy was coming true for "Magazine Dreams" in early 2023. At Sundance, critics hailed the film and its star Jonathan Majors, playing a body builder whose life falls apart. The Yale-trained actor also had a big Marvel role on deck and was poised for Hollywood stardom. In a scrum of potential buyers, "Magazine Dreams" went to a boutique studio with dozens of Oscars to its name. Searchlight Pictures set a theatrical release for year's end, the onset of awards season. The day after the release date's announcement, Majors was arrested in New York following a fight with his girlfriend. When a jury later convicted Majors of assaulting and harassing her, Marvel fired the actor, and Searchlight, also owned by Disney,

dropped "Magazine Dreams." The movie—years in the works by a promising filmmaker and more than 100 other people—vanished into limbo. That's where Tom Ortenberg saw opportunity. He is a Hollywood veteran who specializes in movies with a scarlet letter on them. With nobody having offered much more than a quiet straight-to-video release for "Magazine Dreams," its producers said, Ortenberg is now putting the film in 815 theaters. It opens this weekend, almost two years to the day after Majors's arrest. Ortenberg is betting the time is right, that audiences are keen on the movie and that shifting cultural winds favor a comeback for a canceled actor. "He's paid his dues, the process was served," Ortenberg said. The executive has lunched with Majors several